Company Registration No. 00290803 (England and Wales)

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2021

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PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

COMPANY INFORMATION

Directors	D MacAnthony B F Fry R Symns Dr J D Neale R S Thompson
Company number	00290803
Registered office	London Road Peterborough PE2 8AL
Auditor	Stephenson Smart & Co 36 Tyndall Court Commerce Road Lynch Wood Peterborough PE2 6LR
Business address	London Road Peterborough PE2 8AL
Bankers	Barclays Bank Plc 1 Church Street Peterborough Cambridgeshire PE1 1QP
Solicitors	Pinder Reaux & Associates 61a East Street Barking Essex IG11 8EJ

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

CONTENTS

	Page
Strategic report	1 - 4
Directors' report	5 - 6
Independent auditor's report	7 - 9
Statement of comprehensive income	10
Balance sheet	11
Statement of changes in equity	12
Statement of cash flows	13
Notes to the financial statements	14 - 29

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2021

The directors present the strategic report for the year ended 30 June 2021.

Summary of the business

The Directors report a loss before tax for the year of £1,087,988 (2020: £3,469,722).

Key Performance Indicators

The following key performance indicators are used by the company to measure and evaluate its performance:

	2021	2020
Turnover	£6,733,724	£7,234,714
(Loss)/Profit before tax	(£1,087,988)	(£3,469,722)
Staff Costs	£6,954,846	£6,211,092
Average Attendance	Nil	7,371
League Position	2nd EFL League 1	7th EFL League 1

The directors take a cautious view with respect to financial risk management with the company being well managed by its board who operate a strict and prudent fiscal policy in all aspects.

Budgets and projections indicate that revenue generated from footballing activities being season ticket sales, gate receipts, FL Club distributions, competition prize money and TV & broadcasting revenue are insufficient to cover expected costs.

The directors are continually mindful that financially the company is dependent and will continue to be dependent upon the support provided by its beneficial owners, Mr D MacAnthony, Dr J Neale and Mr R Thompson.

Turnover is approximately 6.9% down on the previous year, cost of sales have increased by approximately 27.2%, leading to a decrease in the gross profit by 20%.

Overall Staff Costs are up by approximately 12% with this being a targeted area for savings on an ongoing basis.

Our Average Attendance has been affected due to the coronavirus pandemic. We continue to undertake Attendance Initiatives Projects to improve this position.

Review of the business and principal risk and uncertainties

When you look back over the last eighteen months it gives you the opportunity to be reflective and considerate in your summation of 'the good, the bad and the ugly' 2019/20 season. Time is the greatest of healers, but the travesty of PPG will never be forgotten. However ... what happened next will be forever etched in Posh history as the 'vengeance payback' (especially the Lincoln penalty) that gave us some form of closure!

So on to the new start, circumstances dictated that we sell our leading goal-scorer Ivan Toney to Brentford and replace him with Jonson Clarke-Harris from Bristol Rovers ... 'are you mad' was the general response, 'wait and see' was the knowing reply.

We then set off on a solid start winning eight of our first eleven league games which saw us sitting in pole-position on top of League 1. The club, the Gaffer and the players were firing on all cylinders, what we didn't want this year was a poor Christmas that could eventually lead to a disappointing finish.

So, we decided to start early and have an awful November instead, one win in seven matches, the wheels hadn't fallen off, but they were certainly wobbling. December, January, and February were heaven sent, 2 losses in eighteen games, a magnificent run and the sniff of promotion was certainly in the air.

Review of the business (continued)

Three losses in March quickly re-focus the mind but under the guidance of the excellent management team, the players pull up their socks over their knees, re-tie those laces that still allow their boots to slide off and spark up their intent to finish the job, its game on.

One loss in ten games with the 'Lincoln Love-in', the incredible and emotional highlight takes us back to the promised land of the Championship, where bigger tests of character, skill and resilience will be on the menu ... but it's great to be back.

By the way, JCH goes on to win the Golden Boot and be named in the EFL Team of the Year, enough said.

The business continues to grow off the field as recorded below:

- Commercial:

Dedicated, hardworking and knowledgeable are the underpinning building blocks of the department. The work undertaken to manage our sponsors and partnerships in such difficult financial times was committed and professional with the best outcomes possible given the unprecedented circumstances ... 'business as usual'

- Retail:

The upgrade and improvement of our stadium outlets, the range and quality of all merchandise and last-but-not-least the staff, has provided the club with a department to be proud of. Add to this the tremendous efficiency of the on-line sales and system and it's no wonder that the returns are flying ... a tremendous effort by all.

- Media:

As the world craves instant news, comment, and additional content, then the football industry magnifies this need ten-fold.
Quantity and quality are the benchmark and the team continually challenge themselves to procure and produce an outstanding plethora of such requirement ... it really is a work of art!

- Finance:

In 'normal' circumstances we would expect income versus expenditure to be applied to our financial well-being with the expert monitoring of our finance guru's safeguarding these principles.
However ... when traditional football income is virtually wiped out due to pandemic 'behind closed doors', then the challenge to maintain profit & loss balance is critically difficult ... up step the finance 'fire' department and the owners and equilibrium is re-established.

- Ticketing:

Ticket Office staff are expected to smile when everything is going well, when everything is going badly and even when they are being screamed and shouted at by irate customers!
They work incredibly hard to provide outstanding service, guidance, and support to everyone who attends or calls, and this can be morning, noon, or night. Great people doing great work.

- Football Secretariat:

Like everything in football recently, the rule book had been ripped up and we had to start again with EFL 'Protocols' being the lynch-pin. The challenge for the Secretariat would be that not only would the EFL be issuing directives but so would the Government, the Sports Ground Safety Authority, Public Health England, the Safety Advisory Group, and anyone else who had an opinion. The dye was cast, and the challenge was met with both barrels ... Get In !

Review of the business (continued)

- Stadium Manager

You can plan, plan and plan when scheduling how to maintain and repair an elderly stadium but the unknown can always be lurking just around the corner. Unknown to us and on top of all the new Covid protocol challenges that were being introduced and audited came 'Under Water Pitch Gate'.
A pitch-side large mains-water pipe had fractured (with the water not rising but flowing horizontally) and had released thousands of gallons of water underneath the playing surface that eventually destroyed most of the grass root zone and surface grass. Luckily for us, the football club had recently invested in a premium pitch renewal called Mixto that used a carpet technique that supported the grass stability. This allowed insurance investment in repairing the damage and hiring a dome tent to continually dry and assist regeneration of the surface that meant we didn't lose a match day throughout this potential disaster ... incredible,
Management 1 – Disaster 0 !

- Security & Risk Management:

Yet another department blighted by the pandemic and its effect on normality and the introduction of new rules. We all understand why change was needed but the ambiguity that came with all the different sets of Protocol Directives was mind blowing to put it mildly.

- Throw away old policy... tick
- Read new policy... tick
- Implement new policy... tick
- Completely understand & happy with new policy... No Chance!!! (but bloody well done for trying)

- IT:

IT provision in an old and physically disjointed stadium was an ongoing difficult challenge which we countered by engaging a new external provider.
I am pleased to be able to report that the provision of service and increased improvement of facilities are the initial benefit, but we must be diligent and keep our eye on fluctuating costs re new equipment and upgrades.

- Digital Marketing:

The improvement in content and output has been a joy to watch and the statistical capture of information is an ongoing beneficial by-product.
There are a multitude of new projects being discussed and planned, these are certainly exciting times for the department, the club, and the supporters ... watch this space please.

- Stadium:

At this time of writing we (the Owners) have bought the stadium back from Peterborough City Council as promised. There are also progressive meetings with the City Council regarding the Embankment Masterplan and the potential possibility of a new stadium placement being part of its future.

Going concern

At the balance sheet date the Company is in a net liability position. The Company's business activities combined with factors likely to impact future development, performance and position have been considered by the Board and continues to be reviewed in line with the Company's strategic plan.

The Board of Directors acknowledge the Club is reliant on the continuing support of its joint controlling companies, creditors and bankers to enable it to continue to trade. The controlling parties as disclosed in note 25, have indicated their intention to support the company for at least twelve months from the date of approval of these accounts. The company is in regular contact with its creditors and bankers and the Directors consider it reasonable to rely on their continued support. As such, the Directors believe it is appropriate for the financial statements to be prepared on the going concern basis.

Closing summary

So, a long and winding road has been travelled on all fronts.
Covid Pandemic, Superb Supporters, Behind Closed Doors, Financial Uncertainty, Pitch Gate, and let's not forget the finale ... PROMOTION!

Wonderful for all concerned at the football club especially those who hadn't experienced it previously. It's an exciting time that must be enjoyed and savoured before we take that plunge into the Championship with the big boys, it will be tough both physically and mentally, but we wouldn't have it any other way.

So, plenty looking forward both on and off the pitch to improve all things Posh especially our sustainability and profitability ... our future.

On behalf of the board

.....
R Symns
Director
..... 7 February 2022

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2021

The directors present their annual report and financial statements for the year ended 30 June 2021.

Principal activities
The principal activity of the club continued to be that of a professional football club.

Results and dividends
The results for the year are set out on page 10.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

D MacAnthony
B F Fry
R Symns
Dr J D Neale
R S Thompson

Auditor
The auditor, Stephenson Smart & Co, is deemed to be reappointed under section 487(2) of the Companies Act 2006.

Statement of directors' responsibilities
The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Statement of disclosure to auditor
So far as the directors are aware, there is no relevant audit information of which the company's auditor are unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditors are aware of that information.

On behalf of the board



R Symns
Director

Date: 7 February 2022

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

Opinion

We have audited the financial statements of Peterborough United Football Club Limited (the 'company') for the year ended 30 June 2021 which comprise the statement of comprehensive income, the balance sheet, the statement of changes in equity, the statement of cash flows and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2021 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty related to going concern

At the balance sheet date the Company is in a net liability position. In forming our opinion on the financial statements, we have considered the adequacy of the disclosures made in note 1 of the financial statements concerning the company's ability to continue as a going concern and its reliance on the ongoing financial support of its joint controlling companies, creditors and bankers. In view of the significance of these factors we consider that it should be drawn to your attention but our opinion is not modified in respect of this matter.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate. Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and the directors' report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

We have considered the nature of the sector, control environment and financial performance based on our accumulated knowledge of the Club.

We have made enquiries with those charged with governance and management, including obtaining and reviewing supporting documentation relating to:

- Identifying, evaluating and complying with laws and regulations and if they were aware of any instances of non-compliance;
- Detecting and responding to the risks of fraud and whether they aware of any actual or suspected fraud;
- The internal controls established to mitigate risks of fraud or non-compliance with laws and regulations.

INDEPENDENT AUDITOR'S REPORT (CONTINUED)

TO THE MEMBERS OF PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

As a result of the above we consider key risks being inappropriate journal entries, management override and revenue recognition. We have also considered provisions of other laws and regulations that do not have a direct effect on the financial statements but could affect the the Club's ability to operate or avoid a material penalty. These include health and safety regulations, alcohol licensing and EFL and FA rules.

Our procedures to respond to risks identified included the following:

- analytical procedures are performed as well as substantive testing to identify any potential misstatement due to fraud and the audit procedures would also involve being aware of any items from discussions with staff and management;
- Performing detailed transactional testing in relation to the recognition of revenue and the completeness of funding;
- Reviewing board meeting minutes;
- Enquiring of management in relation to actual and potential claims for litigation;
- in addressing the risk of fraud through management override of controls we have tested the appropriateness of journal entries and other adjustments and we assessed whether judgements made in accounting estimates are indicative of management bias

As a result of the inherent limitations of an audit, there is a risk that not all irregularities, including a material misstatement in the financial statements or non-compliance with regulation, will be detected by us.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.



Kerry Hilliard ACA FCCA CTA (Senior Statutory Auditor)
For and on behalf of Stephenson Smart & Co

7 Feb 2022

Chartered Accountants
Statutory Auditor

36 Tyndall Court
Commerce Road
Lynch Wood
Peterborough
PE2 6LR

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2021

	Notes	2021 £	2020 £
Turnover	3	6,733,724	7,234,714
Cost of sales		(2,547,017)	(2,001,372)
Gross profit		4,186,707	5,233,342
Administrative expenses		(10,030,171)	(9,483,806)
Other operating income		699,013	286,008
Profit on the disposal of player registrations	4	4,797,568	556,703
Operating loss	5	(346,883)	(3,407,753)
Interest payable and similar expenses	9	(741,105)	(61,969)
Loss before taxation		(1,087,988)	(3,469,722)
Taxation	10	68,423	-
Loss for the financial year	22	(1,019,565)	(3,469,722)

The profit and loss account has been prepared on the basis that all operations are continuing operations.

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

BALANCE SHEET

AS AT 30 JUNE 2021

	Notes	2021 £	2021 £	2020 £	2020 £
Fixed assets					
Intangible assets	11		2,833,408		1,758,790
Tangible assets	12		1,105,910		1,176,165
			3,939,318		2,934,955
Current assets					
Stocks	13	186,619		84,954	
Debtors falling due after more than one year	14	50,000		12,000	
Debtors falling due within one year	14	3,831,541		1,479,396	
Cash at bank and in hand		208,944		472,295	
		4,277,104		2,048,645	
Creditors: amounts falling due within one year	15	(19,686,409)		(13,944,264)	
Net current liabilities			(15,409,305)		(11,895,619)
Total assets less current liabilities			(11,469,987)		(8,960,664)
Creditors: amounts falling due after more than one year	16		(1,833,999)		(3,323,757)
Net liabilities			(13,303,986)		(12,284,421)
Capital and reserves					
Called up share capital	21		3,284,580		3,284,580
Profit and loss reserves	22		(16,588,566)		(15,569,001)
Total equity			(13,303,986)		(12,284,421)

The financial statements were approved by the board of directors and authorised for issue on 7 February 2022 and are signed on its behalf by:

R Symns
Director

Company Registration No. 00290803

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2021

	Share capital	Profit and loss reserves	Total
	£	£	£
Balance at 1 July 2019	3,284,580	(12,099,279)	(8,814,699)
Year ended 30 June 2020:			
Loss and total comprehensive income for the year	-	(3,469,722)	(3,469,722)
Balance at 30 June 2020	3,284,580	(15,569,001)	(12,284,421)
Year ended 30 June 2021:			
Loss and total comprehensive income for the year	-	(1,019,565)	(1,019,565)
Balance at 30 June 2021	3,284,580	(16,588,566)	(13,303,986)

PETERBOROUGH UNITED FOOTBALL CLUB LIMITED

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2021

	Notes	2021 £	2021 £	2020 £	2020 £
Cash flows from operating activities					
Cash (absorbed by)/generated from operations	27		(8,486,616)		1,103,523
Interest paid			(741,105)		(61,969)
Net cash (outflow)/inflow from operating activities			(9,227,721)		1,041,554
Investing activities					
Purchase of intangible assets		(1,785,000)		(1,192,500)	
Proceeds on disposal of intangibles		4,792,000		810,000	
Purchase of tangible fixed assets		(219,055)		(252,817)	
Proceeds on disposal of tangible fixed assets		-		46,280	
Net cash generated from/(used in) investing activities			2,787,945		(589,037)
Financing activities					
Proceeds from borrowings		7,856,638		1,926,652	
Repayment of borrowings		(1,665,106)		(1,560,029)	
Repayment of bank loans		-		(719,537)	
Payment of finance leases obligations		(15,107)		(63,350)	
Net cash generated from/(used in) financing activities			6,176,425		(416,264)
Net (decrease)/increase in cash and cash equivalents			(263,351)		36,253
Cash and cash equivalents at beginning of year			472,295		436,042
Cash and cash equivalents at end of year			208,944		472,295

1 Accounting policies

Company information

Peterborough United Football Club Limited is a private company limited by shares incorporated in England and Wales. The registered office is London Road, Peterborough, PE2 8AL.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

1.2 Going concern and post balance sheet events

The COVID-19 pandemic had a major impact on the UK and global economy. The football industry suffered significantly due to the restrictions on fans attending matches resulting in a a significant fall in match income. Due to a successful rollout of the UK vaccine programme the 2021-22 season has begun with full crowds giving the football industry and the Club confidence of returning to pre-COVID-19 operating levels.

The Board of Directors acknowledge the Club is reliant on the continuing support of its joint controlling companies, creditors and bankers to enable it to continue to trade. The controlling parties as disclosed in note 25, have indicated their intention to support the company for at least twelve months from the date of approval of these accounts. The company is in regular contact with its creditors and bankers and the directors consider it reasonable to rely on their continued support. As such, the directors believe it is appropriate for the financial statements to be prepared on the going concern basis. If the company was unable to continue in operation for the foreseeable future, adjustments would have to be made to reduce the balance sheet value of assets to their recoverable amounts, and to provide for further liabilities that might arise, and to reclassify fixed assets and long term liabilities as current assets and liabilities.

The effects of events in relation to the year ended 30 June 2021 which occurred before the date of approval of the financial statements by the Board of Directors, have been included in the statements to the extent required to show a true and fair view of the state of the affairs at 30 June 2021 and the results for the period ended on that date.

1.3 Turnover

Turnover represents amounts receivable for net gate and ticket receipts, box subscriptions, television and sponsorship revenue, FA and prize money, contingent transfer fees, player loan fees, rental income and other commercial activities net of VAT. Turnover is the total amount excluding value added tax, receivable by the company in the ordinary course of business. Net gate and ticket receipts are recognised when the match is played; television and sponsorship revenue are recognised over the contract or sponsorship period; rental income is recognised over the rental period and all other income is recognised as it becomes receivable in line with the service provided.

1.4 Intangible fixed assets other than goodwill

Intangible assets acquired separately from a business are recognised at cost and are subsequently measured at cost less accumulated amortisation and accumulated impairment losses.

Intangible assets acquired on business combinations are recognised separately from goodwill at the acquisition date where it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the fair value of the asset can be measured reliably; the intangible asset arises from contractual or other legal rights; and the intangible asset is separable from the entity.

1 Accounting policies **(Continued)**

Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Playing staff	amortised over the length of the related player contract

Transfer fees are recognised in the accounting period in which the transfer is registered with the relevant football governing body except where the contract is not conditional upon registration in which case the transfer is recognised when the contract becomes unconditional (usually when payment is made or received). Payments or receipts which are contingent on the performance of team or player are not recognised until the events crystalling such payments or receipts have taken place. Contingent payments or receipts are included within cost of sales and turnover respectively. Transfer fees payable excluding contingent amounts are capitalised and shown as intangible fixed assets. This amount is then amortised over the length of the related player contract. Transfer fees receivable excluding contingent amounts are treated as a sale of the relevant intangible fixed asset.

1.5 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives on the following bases:

Leasehold improvements	10% per annum of cost
Plant and machinery	25% per annum reducing balance
Fixtures, fittings & equipment	25% per annum reducing balance
Motor vehicles	25% per annum reducing balance

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

1.6 Impairment of fixed assets

At each reporting period end date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any).

1.7 Stocks

Stock is valued at the lower of cost and realisable value after making any adjustments necessary for obsolete or slow moving stock.

1.8 Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the company's balance sheet when the company becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset, with the net amounts presented in the financial statements, when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

1 Accounting policies **(Continued)**

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Other financial assets

Other financial assets, including investments in equity instruments which are not subsidiaries, associates or joint ventures, are initially measured at fair value, which is normally the transaction price. Such assets are subsequently carried at fair value and the changes in fair value are recognised in profit or loss, except that investments in equity instruments that are not publicly traded and whose fair values cannot be measured reliably are measured at cost less impairment.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the company transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the company after deducting all of its liabilities.

1 Accounting policies **(Continued)**

Basic financial liabilities

Basic financial liabilities, including creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Debt instruments that do not meet the conditions in FRS 102 paragraph 11.9 are subsequently measured at fair value through profit or loss. Debt instruments may be designated as being measured at fair value though profit or loss to eliminate or reduce an accounting mismatch or if the instruments are measured and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Derecognition of financial liabilities

Financial liabilities are derecognised when the company's contractual obligations expire or are discharged or cancelled.

1.9 Equity instruments

Equity instruments issued by the company are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

Changes in the fair value of derivatives that are designated and qualify as fair value hedges are recognised in profit or loss immediately, together with any changes in the fair value of the hedged asset or liability that are attributable to the hedged risk.

1.10 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the profit and loss account because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

1 Accounting policies **(Continued)**

Deferred tax

Deferred tax liabilities are generally recognised for all timing differences and deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Such assets and liabilities are not recognised if the timing difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the profit and loss account, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset when the company has a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

1.11 Employee benefits

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.12 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

1.13 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the balance sheet as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leases asset are consumed.

Rental income from operating leases is recognised on a straight line basis over the term of the relevant lease. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight line basis over the lease term.

1.14 Government grants

Grants are accounted for under the accruals model as permitted by FRS 102. Grants relating to expenditure on tangible fixed assets are credited to the profit and loss account at the same rate as the depreciation on the assets to which the grant relates. The deferred element of the grants is included in creditors as deferred income.

Where a grant does not specify performance conditions it is recognised in income when the proceeds are received or receivable.

1 Accounting policies **(Continued)**

1.15 Signing on fees

Contractual amounts of fees payable to players are recognised as prepayments and spread evenly over the contract period. The net balance of signing on fees relating to players sold is included within the calculation of profit or loss on disposal of players' contracts.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Key sources of estimation uncertainty

The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Depreciation and amortisation

Depreciation and amortisation are recognised to write off the cost of intangible and tangible fixed assets less their residual values over their useful lives at the rates detailed in Notes 1.4 and 1.5. The provisions for amortisation and depreciation at the reporting end date are £1,766,592 and £2,266,965 respectively. Further details of the amounts provided at the beginning and end of the period, together with the charge for the year are shown in Notes 11 and 12 respectively.

Contingent Appearance Fees

The company has, under transfer agreements, a liability to pay additional sums dependent on players' attainment and any subsequent transfer value. At the year end such fees were estimated at £795,000 (2020: £660,000) which are not considered probable based on managements best estimates.

3 Turnover and other revenue

An analysis of the company's turnover is as follows:

	2021	2020
	£	£
Turnover analysed by class of business		
Retail income	505,324	511,802
Football and commercial income	6,228,400	6,722,912
	6,733,724	7,234,714

	2021	2020
	£	£
Other significant revenue		
Grants received	651,141	257,717

3 Turnover and other revenue (Continued)

The total turnover of the company for the period has been derived from its principal activity wholly undertaken in the United Kingdom.

4 Exceptional item

	2021	2020
	£	£
Profit on the disposal of player registrations	4,797,568	556,703

5 Operating loss

Operating loss for the year is stated after charging/(crediting):	2021 £	2020 £
Government grants	(651,141)	(257,717)
Depreciation of owned tangible fixed assets	180,999	185,208
Depreciation of tangible fixed assets held under finance leases	10,870	20,637
Profit on disposal of tangible fixed assets	-	(12,486)
Amortisation of intangible assets	1,067,950	931,373
Operating lease charges	131,918	556,988

6 Auditor's remuneration

Fees payable to the company's auditor and associates:	2021 £	2020 £
For audit services		
Audit of the financial statements of the company	14,500	16,750
For other services		
All other non-audit services	15,132	13,647

7 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2021 Number	2020 Number
Playing staff	80	82
Matchday staff	36	81
Management and office	16	28
	132	191

7 Employees (Continued)

Their aggregate remuneration comprised:

	2021	2020
	£	£
Wages and salaries	6,131,608	5,549,137
Social security costs	738,472	579,996
Pension costs	84,766	81,959
	6,954,846	6,211,092

8 Directors' remuneration

	2021	2020
	£	£
Remuneration for qualifying services	389,146	144,800
Company pension contributions to defined contribution schemes	3,506	3,507
	392,652	148,307

The number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 1 (2020 - 1).

Remuneration disclosed above include the following amounts paid to the highest paid director:

Remuneration for qualifying services	309,725	-

9 Interest payable and similar expenses

	2021	2020
	£	£
Interest on financial liabilities measured at amortised cost:		
Other interest on financial liabilities	710,880	38,417
Other finance costs:		
Interest on finance leases and hire purchase contracts	3,133	6,480
Other interest	27,092	17,072
	741,105	61,969

10 Taxation

	2021	2020
	£	£
Current tax		
Adjustments in respect of prior periods	(68,423)	-

10 Taxation (Continued)

	2021	2020
	£	£
Loss before taxation	(1,087,988)	(3,469,722)
Expected tax credit based on the standard rate of corporation tax in the UK of 19.00% (2020: 19.00%)	(206,718)	(659,247)
Tax effect of expenses that are not deductible in determining taxable profit	1,399	808
Tax effect of utilisation of tax losses not previously recognised	(8,294)	(4,700)
Unutilised tax losses carried forward	213,613	663,139
Research and development tax credit	(68,423)	-
Taxation credit for the year	(68,423)	-

The company has estimated losses of £16,470,133 (2020: £15,077,910) available for carry forward against future trading profits.

11 Intangible fixed assets

	Playing staff
	£
Cost	
At 1 July 2020	3,580,000
Additions	2,350,000
Disposals	(1,330,000)
At 30 June 2021	4,600,000
Amortisation and impairment	
At 1 July 2020	1,821,210
Amortisation charged for the year	1,067,950
Disposals	(1,122,568)
At 30 June 2021	1,766,592
Carrying amount	
At 30 June 2021	2,833,408
At 30 June 2020	1,758,790

12 Tangible fixed assets

	Leasehold improvements	Plant and machinery	Fixtures, fittings & equipment	Motor vehicles	Total
	£	£	£	£	£
Cost					
At 1 July 2020	1,418,924	1,023,044	716,438	92,855	3,251,261
Additions	31,269	88,555	1,790	-	121,614
At 30 June 2021	1,450,193	1,111,599	718,228	92,855	3,372,875
Depreciation and impairment					
At 1 July 2020	494,872	843,870	687,841	48,513	2,075,096
Depreciation charged in the year	123,687	49,576	7,522	11,084	191,869
At 30 June 2021	618,559	893,446	695,363	59,597	2,266,965
Carrying amount					
At 30 June 2021	831,634	218,153	22,865	33,258	1,105,910
At 30 June 2020	924,052	179,174	28,597	44,342	1,176,165

The net carrying value of tangible fixed assets includes the following in respect of assets held under finance leases or hire purchase contracts.

	2021	2020
	£	£
Motor vehicles	32,611	43,481

13 Stocks

	2021	2020
	£	£
Finished goods and goods for resale	186,619	84,954

14 Debtors

	2021	2020
Amounts falling due within one year:	£	£
Trade debtors	2,207,292	598,483
Corporation tax recoverable	68,423	-
Other debtors	450,901	199,144
Prepayments and accrued income	1,104,925	681,769
	3,831,541	1,479,396

14 Debtors (Continued)

	2021	2020
Amounts falling due after more than one year:	£	£
Trade debtors	50,000	12,000
Total debtors	3,881,541	1,491,396

15 Creditors: amounts falling due within one year

		2021	2020
		£	£
Bank loans and overdrafts	17	300,000	300,000
Obligations under finance leases	18	5,034	11,973
Other borrowings	17	13,190,734	6,999,202
Payments received on account		1,886,767	1,362,179
Trade creditors		2,349,637	2,879,195
Other taxation and social security		705,571	1,396,689
Government grants	19	43,381	-
Other creditors		212,885	267,511
Accruals and deferred income		992,400	727,515
		19,686,409	13,944,264

Net obligations under finance lease and hire purchase contracts amounting to £5,034 (2020: £11,973) are secured by fixed charges on the assets concerned.

Bank loans amounting to £300,000 (2020: £300,000) are guaranteed under the Enterprise Finance Guarantee (EFG) Scheme.

16 Creditors: amounts falling due after more than one year

		2021	2020
		£	£
Obligations under finance leases	18	28,701	36,869
Other borrowings	17	122,000	122,000
Trade creditors		900,000	583,970
Government grants	19	344,353	-
Other creditors		438,945	2,580,918
		1,833,999	3,323,757

Net obligations under finance lease and hire purchase contracts amounting to £28,701 (2020: £36,869) are secured by fixed charges on the assets concerned.

17 Loans and overdrafts

	2021	2020
	£	£
Bank loans	300,000	300,000
Loans from related parties	13,129,934	6,938,402
Other loans	182,800	182,800
	13,612,734	7,421,202
Payable within one year	13,490,734	7,299,202
Payable after one year	122,000	122,000

The company has a bank loan of £300,000 (2020: £300,000) repayable within 1 year with an interest rate of 0% over the Barclays base rate.

18 Finance lease obligations

Future minimum lease payments due under finance leases:	2021 £	2020 £
Within one year	5,034	11,973
In two to five years	28,701	36,869
	33,735	48,842

Finance lease payments represent rentals payable by the company for certain items of plant and machinery. Leases include purchase options at the end of the lease period, and no restrictions are placed on the use of the assets. The average lease term is 2 years. All leases are on a fixed repayment basis and no arrangements have been entered into for contingent rental payments.

The net obligations under finance leases are secured by fixed charges on the assets concerned.

19 Deferred grants

	2021	2020
	£	£
Arising from government grants	387,734	-
Deferred income is included in the financial statements as follows:		
Current liabilities	43,381	-
Non-current liabilities	344,353	-
	387,734	-

The Club has been awarded a government grant in the financial year amounting to £643,515 for the purpose of enhancing grassroots football and football training facilities within the Cambridgeshire region, but with a particular focus on Peterborough and the surrounding areas. The grant, recognised as deferred income, is being amortised over the useful life of the expenditure incurred. In accordance with the terms of the grant, the maximum grant to be received is £1,470,000 with the grant period ending on 30 March 2026.

During the year the Club also received the Coronavirus Job Retention Scheme grant totalling £395,360. This was included in 'other operating income' when it became receivable.

20 Retirement benefit schemes

	2021	2020
Defined contribution schemes	£	£
Charge to profit or loss in respect of defined contribution schemes	84,766	81,959

The company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund.

21 Share capital

	2021	2020
	£	£
Ordinary share capital		
Issued and fully paid		
1,642,290 ordinary shares of £2 each	3,284,580	3,284,580

22 Profit and loss reserves

	2021	2020
	£	£
At the beginning of the year	(15,569,001)	(12,099,279)
Loss for the year	(1,019,565)	(3,469,722)
At the end of the year	(16,588,566)	(15,569,001)

23 Financial commitments, guarantees and contingent liabilities

The company has a financial commitment under contract for maintenance of pitches at the main ground and academy. The financial commitment amounts to £189,000 to 31 August 2022.

The company may receive, under transfer agreements, further amounts for players already sold dependent on whether these players are sold on again for a profit. No reliable estimate can be made of the likelihood of these players being transferred or their potential transfer values.

The company has, under transfer agreements, a liability to pay additional sums dependent on players' attainment and any subsequent transfer value. At the year end such fees were estimated at £795,000 (2020: £660,000) to be payable by the company.

Should the club be promoted to Premier League or retain Championship status, it is required to make additional payments to players, coaches, staff, players' former clubs and players' agents up to a maximum of £12,962,970.

The company is also awaiting the outcome of the Sheldon review in to a number of historic cases. The Directors believe that the Club may have a liability in the region of £50,000 in respect of this.

No provision has been made in these accounts for such liabilities as management do not consider the above estimate to be reliable as player attainments may not be achieved and therefore the payment may never crystallise.

24 Operating lease commitments

Lessee

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2021	2020
	£	£
Within one year	165,279	554,430
Between two and five years	104,210	1,754,895
In over five years	96,500	5,324,594
	365,989	7,633,919

25 Related party transactions

Transactions with related parties

During the year the company entered into the following transactions with related parties:

	Sales		Purchases	
	2021	2020	2021	2020
	£	£	£	£
Entities with control, joint control or significant influence over the company	(300,000)	300,000	195,209	100,000
Key management personnel	600	600	212,299	214,100
Other related parties	41,257	50,618	23,640	11,913

The following amounts were outstanding at the reporting end date:

Amounts due to related parties	2021 £	2020 £
Entities with control, joint control or significant influence over the company	13,261,915	9,518,246
Key management personnel	-	194,823
Other related parties	400	-

The following amounts were outstanding at the reporting end date:

Amounts due from related parties	2021 £	2020 £
Entities with control, joint control or significant influence over the company	411,803	352,384
Other related parties	111	15,196

At 30 June 2021, loans totalling £6,717,579 (2020: £6,767,579) and trade creditors totalling £17,980 (2020: £50,667) were outstanding to entities with joint control over the company. No interest has been charged on the loans.

At 30 June 2021, a loan totalling £6,412,356 (2020: £Nil) was outstanding to an entity with significant influence over the entity. Interest on the loan has been charged at a commercial rate of interest.

The bank facility has been personally guaranteed by two directors to a maximum of £750,000.

26 Ultimate controlling party

At the balance sheet date there is no ultimate controlling party. The company is jointly controlled by DMA Holdings S.A. and Kelgary Sports & Entertainment Ltd by virtue of their majority shareholding.

27 Cash generated from operations

	2021	2020
	£	£
Loss for the year after tax	(1,019,565)	(3,469,722)
Adjustments for:		
Taxation credited	(68,423)	-
Finance costs	741,105	61,969
Gain on disposal of tangible fixed assets	-	(12,486)
Gain on disposal of intangible assets	(4,797,568)	(556,702)
Amortisation and impairment of intangible assets	1,067,948	931,373
Depreciation and impairment of tangible fixed assets	191,870	205,845
Movements in working capital:		
(Increase)/decrease in stocks	(101,665)	28,168
(Increase)/decrease in debtors	(2,108,723)	359,654
(Decrease)/increase in creditors	(2,391,595)	3,555,424
Cash (absorbed by)/generated from operations	(8,486,616)	1,103,523

28 Analysis of changes in net debt

	1 July 2020	Cash flows	30 June 2021
	£	£	£
Cash at bank and in hand	472,295	(263,351)	208,944
Borrowings excluding overdrafts	(7,421,202)	(6,191,532)	(13,612,734)
Obligations under finance leases	(48,842)	15,107	(33,735)
	(6,997,749)	(6,439,776)	(13,437,525)